Financial Ombudsman Service

complaint

Mr and Mrs H are unhappy that a claim under their home insurance policy for an escape of water has been declined by Ageas Insurance Limited.

background

In February 2018 Mr and Mrs H took out a policy with Ageas for a rental property. They said the property was let to family.

About a month later they made a claim to Ageas for an escape of water which they said they discovered in early March 2018.

Ageas investigated the claim and refused to pay it. It said there were too many inconsistencies in the claim and it hadn't been shown that the property had actually been occupied as claimed by Mr and Mrs H or that they'd complied with the conditions in the policy. In summary it said the inconsistencies were:

- When Mr and Mrs H took the policy out, they told Ageas the property was going to be let to family but it hadn't seen any evidence to suggest the property was ever going to be let out;
- They said their friend regularly stayed at the property but he'd told Ageas he'd only stayed there once;
- The property couldn't be occupied as it was being renovated;
- Mr H had told his plumber how much to quote for repairs; and
- Mr H said the property had always been insured but in fact it hadn't been insured for about three months before the policy with Ageas was taken out.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Mr and Mrs H's policy provided cover for an escape of water but not if it happened after the property had been left unfurnished or unoccupied for more than 90 consecutive days unless stated otherwise on their Schedule.

The Schedule says the property was temporarily unoccupied and that it would be let to persons in full time employment. On 12 February 2018 Ageas noted the property was let to Mr and Mrs H's family.

"Unfurnished" is defined in the policy as "*without sufficient furniture and furnishings for normal living purposes*" and "unoccupied" is defined as "*not occupied by tenants*".

Ageas has said that Mr and Mrs H haven't provided evidence to show that the property was occupied as claimed. I don't think this is the correct approach for two reasons. Firstly when they took out the policy, Mr and Mrs H told Ageas that for the time being there was no-one living in the property. Secondly, the condition about the property not being unfurnished or unoccupied on which Ageas is relying operates as an exclusion. So it's for Ageas to show, on the balance of probabilities, that the property was unoccupied or unfurnished for more than 90 days during the term of the policy. Since the policy had only started about a month before the damage happened, that couldn't have been the case.

Ageas referred to Mr H's statement in which he said that a tenancy had fallen through because the tenant wanted a term of two years and he and Mrs H only wanted to let it out for six months. It said that in the light of this and without any signed tenancy agreement it hadn't been shown that the insured property was being used as described in the proposal.

Ageas also referred to a statement from a person Mr H said had stayed regularly at the property and was staying there just before the damage happened. That person told Ageas that he was helping Mr H do the property up. It said that further suggested that the property was not yet ready to be let to tenants. There is also some dispute as to whether the property could be lived in during the period leading up to the loss. Ageas says there was no furniture, no functioning kitchen and no floor coverings. Mr H says before the damage happened the kitchen had a cooker, hob and electric kettle.

But I don't need to decide whether the property could be lived in or was furnished. For me the key issue is that Ageas hasn't shown that the property would probably have been unoccupied or unfurnished for more than 90 days from the start of the policy if the damage hadn't happened.

Ageas also said it was concerned because Mr H appeared to be telling his plumber how much to quote for the repairs. Mr H says that's because he's an experienced builder and was concerned about unforeseen damage. I can understand why Mr H might not want to under-estimate the cost of repairs if he was looking for a cash settlement. I don't think this amounts to an "i*nconsistency*" as alleged by Ageas.

In his initial interview Mr H told Ageas that he'd always had insurance cover in place. In fact Ageas found out that there's been a gap in cover from November 2017 until February 2018. It appears that Mrs H took out an unoccupied property policy in December 2016 and cancelled it in November 2017 as she thought a tenant was going to move in. She took out a policy for a tenanted property but the policy was cancelled because she didn't pay the insurance premium. Mr H has serious health issues. I think it's more likely that Mr H either didn't know about this or overlooked it when he told Ageas the property had always been insured. I don't think there was any intention on his part to deceive Ageas.

I've also looked to see whether Mr and Mrs H breached any of the conditions in their policy. If they'd had an unoccupied property policy, there would have been a condition that the water supply had to be drained or a fully working central heating system left on continuously. But I'm not persuaded that the property wasn't going to be occupied or that Mr and Mrs H should have had this type of policy. Since they didn't have this sort of policy, I don't think this condition is relevant.

I agree there are a number of inconsistencies in the information given to Ageas – for example, about how often and when their friend stayed at the property before the damage, But whilst inconsistencies can make it more difficult for an insurer to assess a claim, they aren't usually enough in themselves to justify an insurer not paying a claim. This service has an established approach to this type of situation and we usually say an insurer should pay a claim unless it's been established there are strong grounds that it's fair and reasonable not to do so. Overall in this complaint I'm not persuaded that there are strong grounds for Ageas not to pay the claim.

my final decision

I uphold this complaint. I require Ageas Insurance Limited to settle Mr and Mrs H's claim in accordance with the remaining policy terms and conditions.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr and Mrs H to accept or reject my decision before 4 November 2018.

Elizabeth Grant
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